Darden DRI

NYSE · Consumer Cyclical · Restaurants · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
263.32	226.35	+16.3%	+17.7%	25.6bn	2.8%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.95	USD	DO USD 6.24

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 263.32, against a price of USD 226.35: the price implies only 2.8% growth forever. Darden reaffirmed FY2027 EPS of USD 11.10–11.35, 4–7% above FY2026 [1]. The market reads a slow Olive Garden quarter as a trend; management blames the World Cup, and traffic improved into September [2].

MARGIN OF SAFETY AND ALPHA

Margin of safety +16.3%, alpha +17.7% a year (IR 0.95), assuming the gap closes within one year.

CATALYST

Q2 FY2027 results and outlook · `18 Dec (company)`. Set on the Q1 call for Friday 18 Dec, before the open [2]; the quarter ends in late November. Olive Garden traffic back after the World Cup and a kept EPS guide would show the slowdown was one-off, and move the price towards fair value.

DECISION

Long candidate. We buy, although the margin of +16% is below our 25% rule: the comparables (USD 279.60) see more, and the Q2 results fall inside the challenge. A low-β stock that adds restaurants to our chip, food and drug names.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

Darden returns most of its cash: USD 693m of dividends and USD 672m of buybacks in FY2026 [3], so we discount dividends plus buybacks (cheat sheet p. 2). Two stages: 8.6% for 2 years, from 75–80 new restaurants a year [3] and buybacks, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 237.67: it misses the near-term growth. P/B (12.40x) says little, as buybacks have shrunk the equity. McDonald's and Yum franchise most of their restaurants, while Darden runs its own, so margins differ and the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 226.35	Close 06.11.26, not adjusted
D_0 used	USD 12.02	Dividends, 12 months + last FY buybacks per share
β	0.76	Bloomberg 60-month β
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	8.21%	CAPM
g_1, first stage	8.6%	Bloomberg, long-term EPS growth (LTG)
T, years	2	A mature chain: a short phase of unit growth; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 237.67	+5% vs price
Two-stage value	**USD 263.32**	**+16% vs price; 91% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
7.21%	265.78	292.71	326.06	368.39	423.92
7.71%	242.43	264.54	291.36	324.54	366.68
8.21%	222.84	241.31	**263.32**	290.01	323.04
8.71%	206.18	221.82	240.20	262.11	288.68
9.21%	191.82	205.23	220.80	239.10	260.91
Upside	−2%	+7%	+16%	+28%	+43%

Two-stage DDM value, USD. Shaded: at or above the price of 226.35. Dark: base case. Upside at the base k.

The value stays above the price in 19 of 25 cases. It falls to the price if k rises by about 0.9 point (a β near 0.95) or g2 falls to about 2.1%: the terminal value is 91% of the value.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

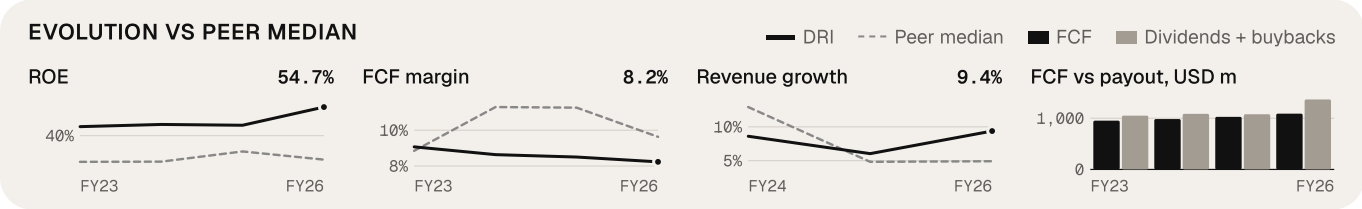
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
MCD McDonald's	195.2	20.2x	27.2x	16.5x
SBUX Starbucks	120.2	28.3x	49.2x	24.2x
CMG Chipotle Mexican Grill	43.6	26.0x	30.1x	21.3x
YUM Yum! Brands	43.3	23.9x	26.4x	17.6x
YUMC Yum China Holdings	16.8	14.8x	20.0x	10.0x
TXRH Texas Roadhouse	12.1	24.4x	35.9x	18.1x
Peer average		22.9x	31.5x	18.0x
Peer median		24.2x	28.6x	17.8x
DRI Darden	25.6	18.3x	23.5x	15.9x
Implied price at peer average		284.19	302.56	266.04
Implied price at peer median		299.75	275.21	263.84

Comps value USD 279.60 (+24%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY26	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	54.7%	27.8%	45.3%	better	improving	
Profitability	ROA	9.4%	12.9%	9.0%	worse	improving	
Profitability	FCF margin	8.2%	9.6%	8.7%	worse	worsening	**Red flag**
Growth	Revenue growth	9.4%	4.9%	7.3%	better	improving	
Growth	Gross margin	21.7%	24.1%	21.1%	worse	improving	
Safety	Debt / equity	2.87	0.67	2.43	worse	worsening	**Red flag**
Payout	Payout / FCF	1.25	1.09	1.08	worse	worsening	**Red flag**

Earnings test: adjusted EPS 10.64 (FY26) → 11.27 → 12.40 (forward): rising. Trailing GAAP EPS of 10.30 is close to the adjusted figure.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Watch: three red flags. Debt is 2.87 times equity, as buybacks shrink the equity; dividends and buybacks took 1.25 times FCF in FY26; the FCF margin trails peers. Earnings are not falling and revenue grows faster than peers. **A leveraged payout, not a value trap.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+17.7%	0.95
Gap never closes	α never = $D_1 / P_0 + g - k$	+0.3%	0.01
Used: closes in 1 year	**Goes into Treynor-Black**	**+17.7%**	**0.95**

The Q2 results of 18 Dec [2] fall inside the window, so we assume the gap closes within a year (α closed). Analysts' target (USD 234.23) is near the price, so this alpha is an upper bound. IR 0.95, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: OLIVE GARDEN AND THE PAYOUT

Olive Garden, over 40% of sales, grew same-restaurant sales by only 1% in Q1 [1]. If traffic stays weak, buybacks, which take the payout above FCF, would be cut first. On dividends alone, the DDM gives about USD 137, well below the price.

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

LongHorn has grown same-restaurant sales for 22 quarters in a row, by 6.8% in Q1 [2], and Darden keeps each brand's unit growth below 10% a year [2]. CEO Rick Cardenas raised the dividend by 8% in June, with a new USD 1.5bn buyback programme [3].

Model flags: *IR of 0.95 is above Buffett's 0.64: the alpha is probably too optimistic.*

[1] Darden, Q1 fiscal 2027 results, 24 Sep 2026. [2] Darden, Q1 fiscal 2027 earnings call, corrected transcript (FactSet), 24 Sep 2026. [3] Darden, Q4 and fiscal 2026 results and fiscal 2027 outlook, 25 Jun 2026. Market data: Yahoo Finance and FRED, downloaded 08.11.26.